higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 2

(3011022)

8 March 2019 (X-Paper)
09:00–11:30

This question paper consists of 10 pages.

NCV

TIME: 2½ HOURS
MARKS: 150

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 Which law states that if the price of a product increases, the quantity supplied will increase?

A Labour law
B Law of supply
C Law of demand
D Law of elasticity of demand

1.1.2 A situation in which the quantity that buyers demand is the same as the quantity that suppliers supply:

A Collateral
B Equivalent
C Equilibrium
D Physical balance

1.1.3 The framework that determines the scope of fiscal policy in South Africa:

A GEAR
B GDP
C CPI
D Inflation

1.1.4 Which family was at the centre of the 2017 state capture saga in South Africa?

A Ackerman family
B Moodly family
C Gupta family
D Ramaphosa family

1.1.5 The political instability in a country can affect the … in the financial markets.

A exchange rate
B climatic conditions
C health policies
D voters' confidence

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1.1.6 What is the successful duration of a business cycle?

A Four to ten years
B Six to ten years
C Two to five years
D Three to five years

1.1.7 ONE of the following elements does NOT belong to the macro-environment of business:

A Physical environment
B Market environment
C Economic environment
D Social environment

1.1.8 The regular fluctuations of economic factors like interest rates are known as … changes.

A cyclical
B foundational
C basic
D fundamental

1.1.9 Events in other parts of the world such as wars, disasters and economic development can affect South Africa because of …

A geographical mobility.
B globalisation.
C the vast oceans.
D tourism.

1.1.10 One of the reasons for international trade is …

A availability of skilled labour.
B musical artists that can perform anywhere in the world.
C tourism.
D population rate of a country.

(10 × 1) (10)

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1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

1.2.1 Equilibrium position is the right time to do business within the borders of the country.

1.2.2 When a group of countries unites to form trade agreements, they are known as a trade bloc.

1.2.3 Deforestation is a good exercise for the environment and it should be encouraged.

1.2.4 Minister Gigaba is South Africa's finance minister according to the first Cabinet reshuffle by President Cyril Ramaphosa.

1.2.5 An entrepreneur is a person who cannot take risks in the business because he wants to make profit.

1.2.6 The electricity supply commission is the sole supplier of electricity in South Africa.

1.2.7 A trough is a phase in a trade cycle that indicates an increased level of economic activity.

1.2.8 Businesses can help the government in improving people's lives through social responsibility programmes.

1.2.9 Socio-economic forces are responsible for economic changes in our societies.

1.2.10 The existence of technology will always bring about improved productivity in a business.

(10 × 1) (10)

NCV

1.3 Choose a description from COLUMN B that matches a word in COLUMN A. Write only the letter (A–J) next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.3.1	SAFCOB	A	it forms part of the market environment of a business
1.3.2	poverty	B	the basic structures a society needs to produce and consume, e.g. roads and buildings
1.3.3	Department of Labour	C	an increase in the unemployment rate that resulted in an increase in crime
1.3.4	recession	D	an example of the support structures of business
1.3.5	GDP	E	it measure the level of productivity in an economy
1.3.6	microeconomics	F	when a country exports more to other countries
1.3.7	macroeconomics	G	this leads to poor health, nutrition and education
1.3.8	competitors	H	the department responsible for drafting of the basic conditions of employment
1.3.9	infrastructure	I	the service strikes in north west province affected investor confidence in the area
1.3.10	balanced trade	J	the phase of business that is characterised by low economic activity

(10 × 1) (10)
[30]

TOTAL SECTION A: 30

SECTION B

QUESTION 2

Read the extract below and answer questions.

BUS STRIKE TAKES HEFTY CHUNK FROM ECONOMY

More than three weeks after thousands of bus drivers downed tools, the economy continues to bleed millions of rands as a result. Transport economist from North West University, Ofentse Mokwena, said the country could be losing at least R589 million a week because of the ongoing strike, adding that billions of rand have been lost because of the industrial action.

[Adapted from: *City Press,* 13 May 2018]

2.1 Which currency is used in each of the following countries?

2.1.1 South Africa

2.1.2 Botswana

2.1.3 USA

2.1.4 United Kingdom

(4 × 1) (4)

2.2 What effect does a strike action have on the following:

2.2.1 Employees

2.2.2 Businesses

(2 × 2) (4)

2.3 'Bus drivers waste no time in resuming service as the strike ends after bus companies have announced that service will resume immediately.'

Explain THREE benefits that public transportation has for the South African economy. (6)

2.4 Describe the FOUR causes of poverty. (4)

2.5 Differentiate between *structural changes* and *cyclical changes* in the economy. Give an example of each change. (6)

2.6 Define the term *globalisation.* (2)

2.7 Give FOUR reasons for international trade. (4)

[30]

QUESTION 3

3.1 Study the TABLE below and answer questions.

PRICE (RAND)	QUANTITY DEMANDED	QUANTITY SUPPLIED	SHORTAGE (-) OR SURPLUS (+)
R1	100	10	**(a)**
R2	80	30	**(b)**
R3	60	60	**(c)**
R4	40	80	**(d)**
R5	20	100	**(e)**

3.1.1 Calculate the values of a, b, c, d and e from the above table. (5)

3.1.2 What is the equilibrium price and the equilibrium quantity from the table above? (2)

3.1.3 Suppose the price remains constant, but the quantity demanded increases by 40 units at each price level.

Calculate the new quantity demanded for each price level. (5 × 1) (5)

3.1.4 With reference to QUESTION 3.1.3 above, the new equilibrium price is … and new equilibrium quantity is … units. (2)

3.1.5 The increase in demand will lead to a shift of the demand curve to the … (1)

3.2 Ruth spends three years exporting mangoes to America. In 2017, she decides to plan for a holiday to America. However, she is uncertain as to how much pocket money she needs due to the fluctuating rand value.

3.2.1 The rand-dollar exchange rate is $1 = R12,65.

Calculate how much Ruth needs in rand if she plans to take along $8 000. (Show all calculations.) (3)

3.2.2 Give FOUR effects on imports if the rand depreciates against the dollar. (4)

3.2.3 Briefly explain FOUR effects of depreciation of domestic currency. (8)

[30]

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QUESTION 4

Read the case extract and answer the questions.

PROUDLY SOUTH AFRICAN CONDEMNS ZARA

The country's 'buy local' campaign, Proudly South African, has condemned the unauthorised replication of the fashion designer of MaXhosa, Laduma Ngxokolo's work who operate an informal business by Spanish retailer, Zara.

[Source*: www.Business Insider South Africa,* 24 April 2018]

4.1 State whether the extract above is based on micro-environment or market environment of business? (1)

4.2 Give TWO reasons why it is wong to copy someone else's product. (4)

4.3 Why is it important for the government to support local businesses like MaXhosa? (4)

4.4 An informal sector plays an important role in the economy of any country:

4.4.1 What is an informal sector? (2)

4.4.2 Explain TWO importance's of informal sectors in the economy. (4)

4.5 Money plays a central role in any economy, including South Africa.

4.5.1 State, in your own words, what the term *money* means? (3)

4.5.2 Briefly explain FOUR ways of how banks create money. (8)

4.5.3 Give TWO reasons why the debit card is called plastic money. (4)

[30]

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QUESTION 5

5.1 Read the following extract and answer the questions.

RESERVE BANK CITES UPSIDE INFLATION RISK AS IT HOLDS RATES

The Reserve Bank will remain vigilant to ensure that inflation remains 'well within the target range', Governor Lesetja Kganyago said on Thursday as the Bank held interest rates at 6,5%, citing upside risks to the inflation outlook from dollar strength and the surge in oil prices.

[Source: *www. businesslive.co.za,* 24 May 2018]

5.1.1 Define the term *inflation.* (3)

5.1.2 Briefly explain THREE negative effects of an increase in inflation on the South African economy. (6)

5.1.3 What do you understand by the term *demand-pull inflation*? (2)

5.1.4 Name TWO economic factors, which have a negative impact on businesses. (2)

5.2 State FIVE subaccounts that must be recorded in the balance of payment. (5)

5.3 Differentiate between *form value* and *possession value.* Give an example of each. (4)

5.4 'Updating technology impacts negatively and positively on the economy.'

Explain the effects technology has on the following sectors:

5.4.1 Households

5.4.2 Firms

(2 × 4) (8)

[30]

TOTAL SECTION B: 120
GRAND TOTAL: 150

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